

results from the excess in the stock of money supply which is corrected by the outflow of foreign nations' currency reserves from the domestic economy.

This is the scenario of a nation's monetary stance when it operates in a fixed exchange regime where its monetary authorities have no control over its money supply in the long run.

10.2.4.3 Monetary approach and flexible exchange rate

The monetary approach under a flexible exchange rate can be expressed as one, where currency depreciation results from an excess in the stock of money supply whereas currency appreciation results from an excess in the stock of money demanded in a given economy at a point of time. Since a higher stock of money supply is equivalent to having inflation in the domestic nation, it can be stated that a nation experiencing inflationary trends will experience depreciation in the foreign currency price of its domestic currency or will find its exchange rate rising. Alternatively, a nation that experiences lower inflation than other nations will experience an appreciation of its domestic currency or will find its exchange rate falling. Under a Flexible exchange rate, a benefit occurs to the nations in the form that a nation experiencing higher inflationary pressures will tend to transmit their inflation to the other nations through their rising imports rather than directly by exports of money reserves. Since alterations in the stock of imports and exports of goods and services is a real phenomenon that usually takes more time than any monetary change, the nations are somewhat shielded from the inflationary pressures as this rising import phenomenon is largely determined by structural conditions prevailing in any given nation.

Under a flexible exchange rate regime, nations' monetary authorities uphold dominant control over the stock of their money supply and can therefore implement monetary policies to suit their country's monetary environment. Under this, the external balance is immediately corrected by automated changes in the level of exchange rates and thus no inflow or outflow of domestic or foreign nations' currency assets is required to maintain equilibrium unlike in the fixed exchange rate regime.

Under both fixed and flexible exchange rates, the balance of payments surplus or deficit is adjusted through money market equilibrium. However, the equilibrium in both regimes is attained differently. Under fixed exchange rates, quantities of money adjust gradually through reserve flows to bring equality between actual and desired money stock. Under floating exchange rates, money market equilibrium occurs through domestic price changes that alter the valuation of the money stock.

The transition to floating exchange rate regimes in the 1970s changed the focus from the total BoP to its various subaccounts like the Current and Financial Account balances. These are the indicators of economic activities and currency repercussions to come. Although most nations strive for current account

surpluses, it is not clear that a balance on the current or the capital account, or a surplus on the current account, is either sustainable or desirable.

10.2.4.4 Criticisms of the monetary approach to BoP

This has been criticized on the following grounds:

- 1) Demand for money is not constant as assumed in the monetary approach to the balance of payments. In fact, in the real world, demand for money is only found to be stable in the long run and not in the short run.
- 2) A direct link is assumed between money supply and equilibrium in the balance of payments account. This indicates that the central bank has control over the inflow and outflow of foreign exchange reserves in the country in consonance with surplus or deficit in the balance of payments accounts. However, economists have argued that such sterilization operations' are not feasible in the present era of globalization where financial markets are highly integrated and countries are following an approach of flexible exchange rates.
- 3) The automatic self-adjustment mechanism highlighted in the monetary approach is feasible in long run. But it completely disregards the balance of payments disequilibria that exist in the short run. This is because the adjustments in the real sectors of the economy are not feasible to make in a short time. Thus, it will not be wrong to call the monetary approach a long-run approach to adjustments in the balance of payments.
- 4) The approach disregards factors other than monetary factors such as expansion or contraction of domestic credit that may create disequilibrium in the balance of payments account. It is asserted that completely disregarding the real sector disturbances is not a realistic assumption, and as such, disequilibrium may lead to adjustments through different routes in the balance of payments accounts.

The above flaws doubt its usefulness as a foundation for effective balance of payments management in developing countries. It is consequently argued that efforts to correct payments deficits should look beyond monetary factors and consider tackling external debt problems and ensuring resource flows into deficit countries.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

- 1) Trace the evolution of the monetary approach to BoP.

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- 2) Given the assumptions of the monetary approach, how can you analyse that the BoP is a monetary phenomenon?

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- 3) Point out the criticisms against the monetary approach to BoP..

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- 4) a) Which of the following will prevail in the BoP account when money supply exceeds money demand?

- i) Deficit
- ii) Surplus
- iii) Neither deficit nor surplus.

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- b) What condition prevails in the BoP account when money demand exceeds the level of the money supply?

- i) Deficit
- ii) Surplus
- iii) Neither deficit nor surplus

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- 5) Explain how the monetary approach to BoP is essential:

- a) Short run phenomenon.
- b) Long run phenomenon.
- c) A phenomenon of short and long run both..

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10.2.5 Synthesising all the approaches to BoP

This section aims to provide a broad synoptic view of all the approaches. In the absorption approach income or expenditure clears the balance of payments. The monetary approach concentrates on the accumulation of money balances only. The stock-flow consideration of the monetary approach is the essential difference between the monetary approach and the elasticities and absorption approaches, where the latter two consider the flow equilibrium only. The monetary approach, like the absorption approach, stresses the need for reducing domestic expenditure relative to income, to eliminate a deficit in the balance of payments. However, whereas the absorption approach looks at the relationship between real output and expenditure on goods, the monetary approach concentrates on deficient or excess nominal demand for goods and securities, and the resulting accumulation or de-accumulation of money.

The different theories seek to explain different aspects of the balance of payments, so they are considerably complementary rather than competitive. The elasticities or traditional approach seeks to explain the balance of trade; the Keynesian theory explains the current balance; the monetary theory explains the overall balance. The theories are complementary in another sense. The traditional theory is a microeconomic theory of adjustment in the goods market; the *Keynesian* theory (a macroeconomics theory) in the goods market and the monetary theory (a theory of disequilibrium) in the money market. However, a complete analysis must take account of both real and financial factors so neither Keynesian nor monetary analyses can be complete in themselves. A complete analysis needs to look at both stocks and flows, *Keynesian* and monetary analyses are complementary as much as competitive. The monetary approach consists of the combination of two models: the money market and the foreign exchange market. The changes in the money market lead to changes in real returns on securities denominated in different currencies. Then investors' subsequent reaction to the changes in real returns leads to changes in the relevant exchange rate.

According to *Alan Barrett*, the monetary- approach to the balance of payments offers a richer and more satisfying analysis of the balance of payments as opposed to approaches which overshadowed it in the middle of the 20th century. The monetary approach to BoP analysis 'has been influenced directly by the changing character of international economic problems; in addition, however, it has also been affected by changing methodological fashions in the mainstream of economic thought'. The monetary approach to the balance of payments has drawn a good deal of attention from researchers.

Check Your Progress 3

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Three major approaches to analysing the economic impact of currency depreciation are:

- a) the elasticities,
- b) the absorption, and
- c) the monetary.

Distinguish among the three.

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2) Are these approaches complementary? Give your answer.

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10.3 LET US SUM UP

- Approaches to BoP are commonly known as the elasticities, absorption, and monetary approaches. The elasticity approach emphasizes the relative price effects of depreciation and suggests that depreciation works best when demand elasticities are high. As stated in the Marshall-Lerner condition, if the sum of the elasticities is less than one, currency depreciation will cause deterioration in a nation's trade position. A nation's trade balance remains unaffected by depreciation if the sum of the demand elasticities equals one.
- The absorption approach emphasizes the income effects of currency depreciation. According to this view, depreciation may initially stimulate a nation's exports and production of import-competing goods. The implication is that a decrease in domestic expenditure relative to income must occur for depreciation to promote trade equilibrium.
- The Keynesian analysis is an analysis of flows-flows of goods that are traded, and of income. The monetary analysis is an analysis of stocks, especially money stocks. The monetary approach stresses the effects depreciation has on the purchasing power of money and the resulting impact on domestic expenditure levels. The monetary approach establishes the link between BoP deficits, the intervention required in the foreign exchange market and the amount of money supply to prevail in a fixed exchange regime.

- The monetary approach considers inter-relationships among various markets and the inter-relationship between stock and flow equilibrium. The monetary approach focuses exclusively on investors' decisions between two securities. It considers investment-related factors in exchange rate determination. Investors compare the real interest rates in two countries.
- Under flexible exchange rates remember that the exchange rate bears all the strain of balance to payments imbalance. The main difference between the balance of payments deficit corrections under fixed and floating exchange rates is the absence of any need for expenditure reduction under floating rates.

10.4 KEY WORDS

The Asset Approach to BoP

Pays its exclusive focus on the behaviour of international investors who are trying to decide between securities denominated in two different currencies. Based on this, the monetary approach is also called the *asset approach to exchange rate determination* because by definition the price of one national money in terms of another.

Domestic credit policy

A way of measuring growth in the total amount of money in a country's economy at a particular time.

International reserves

International reserves are any kind of reserve funds that can be passed between the central banks of different countries. International reserves are an acceptable form of payment between these banks. International reserves are a country's '*external assets*'—including foreign currency deposits and bonds held by central banks and monetary authorities, gold and SDRs.

Sterilization policy

This is a form of monetary action in which a central bank seeks to limit the effect of inflows and outflows of capital on the money supply. It most frequently involves the purchase or sale of financial assets by a central bank and is designed to offset the effect of foreign exchange intervention.

10.5 SOME USEFUL REFERENCES

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10.6 ANSWERS/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check your progress 1

- 1) See section 10.2.1
- 2) See section 10.2
- 3) See section 10.2.3
- 4) See sections 10.2.1, 10.2.3, and 10.2.3 and frame your answer.
- 5) See sections 10.2.1, 10.2.3, and 10.2.3 and make the differences clear.

Check your progress 2

- 1) See section 10.2.4
- 2) See section 10.2.4.1
- 3) See section 10.2.4.4
- 4) a) see section 10.2.4.1
b) see section 10.2.4.1
- 5) See section 10.2.4.1

Check your progress 3

- 1) See section 10.2.5
- 2) See section 10.2.5



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